

GST RESET

→ The GST Council has approved a new rate structure of 5% and 18% and a 40% rate on sin and ultra luxury goods

→ The tax on most mass market and daily use items, from paneer, ghee, soap and

shampoos to consumer durables and passenger cars, will reduce

→ Compensation cess for states to end later this year

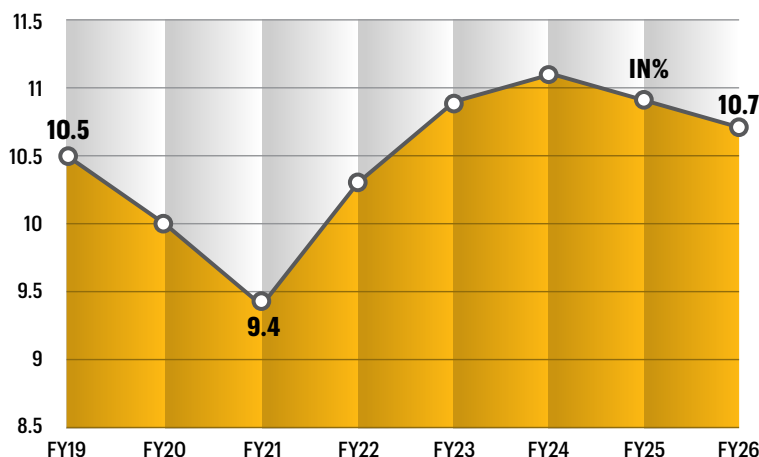
→ Changes in GST rates on goods (except pan masala and tobacco products) and

services to be effective September 22

→ It has also approved structural reforms to correct inverted duty structures, simplification of registration scheme and operationalisation of GSTAT by December 2025

FALLING SHORT

• States complain that the effective rate under GST has not touched the desired level of around 14%



SOURCE BOFA GLOBAL RESEARCH, CEIC

A note by HSBC Global Investment Research says the GST changes, combined with benign inflation, income tax cuts in February, and accommodative monetary policy, have created an environment for sustained growth. “A revival in demand should also provide a much-needed boost to private sector capex that has been sluggish for several years,” it says.

THE FINE PRINT

Finance Minister Nirmala Sitharaman explained that she, along with ministry officials, had been working on GST reforms for several months now, even as state finance ministers expressed surprise at the suddenness of the announcement and raised concerns over potential revenue losses.

The most immediate change will, of course, be the rate cuts

under which there are now two main slabs of 5% and 18% along with a higher rate of 40%. The 12% and 28% slabs as well as the compensation cess, which was levied to compensate states for the loss of revenue after GST subsumed value-added taxes that states levied, will go away. The 0% rate and marginal tax rates for several items continue.

It’s not all about the cuts, though, as rates have been increased for several items and services such as premium airline travel and non-alcoholic beverages.

An SBI Research report notes that of the 453 goods on which the tax rate has been changed, 413 have seen a decrease. “Almost 295 goods are now under the new GST rate of 5% or nil from 12% earlier,” it says.

The lower tax rates are also expected to further reduce inflationary pressures that have been on a downward trajectory for several months now.

The structural reforms approved by the 56th GST Council are also expected to ease compliance and help firms that have for long been complaining about the complexities of the indirect tax levy.

New Delhi-based chartered accountant Sachin Jain says litigation on notices under the GST have been a big challenge, leading to unnecessary harassment and costs for businesses. “In cases of fake registration, the department often blocks the credit and looks to recover the money from the recipient. How can the recipient know if the business is genuine or not?” he asks. Jain says there has to be a better system of checks at the time of registration. Similarly, the inverted duty structure and refunds are another source of